



Semantic Arts, Inc.
123 N. College Ave., Suite 218, Fort Collins, CO 80524
www.semanticarts.com

CONFIDENTIALITY AND CONFLICTS AGREEMENT

This Confidentiality and Conflicts Agreement (this “Agreement”), is by and between Semantic Arts, Inc., its related operating units, holding companies, or other affiliated or related entities (the “Company”) and the signatory below (“Covered Person”). Every person performing any kind of service for the Company, which, whether as an employee, independent contractor, consultant, or otherwise, acknowledges and agrees that the Company possesses and depends upon valuable intellectual property, confidential information, trade secrets and other proprietary property vital to the Company.

The Company is engaged in various business operations. In view of the nature of the Company, and as a condition of any continuing relationship with the Company, all persons asked by the Company to sign and acknowledge this Agreement acknowledge the importance of these legitimate Company interests and agree to abide by each of the terms stated in this Agreement. The policies contained in this Agreement (“Policies”) are designed to protect the Company’s vital interests. It is important for all persons to understand that the Company will treat any violation of this Agreement or the Policies as a matter of the highest importance and will vigorously pursue any and all legal and equitable rights and remedies including but not limited to civil action for monetary damages and/or injunctive relief against any person who compromises the confidentiality of any protected information as a result of violating this Agreement or the Policies.

SCOPE:

The Policies apply to each person providing any kind of service to the Company, including each employee, temporary employee, contract employee, independent contractor, consultant, manager, officer, director or partner of the Company and/or each subsidiary, affiliate and operating unit of the Company. For ease of reference, “Covered Person(s)” includes all persons described in the proceeding sentence. The person signing this Agreement shall be identified as the “Covered Person.” Covered Person agrees to abide by the provisions herein as a condition of continuing any relationship with the Company. Nothing in this Agreement shall be construed as an express or implied contract of employment or as altering at-will employment status.

CONFIDENTIALITY

Covered Person acknowledges and agrees to comply with each of the following nine (9) Policies:

1. Agreement and Duty Not to Publish, Disclose or Inappropriately Use “Confidential Company Information”: “Confidential Company Information” is defined as any information, knowledge or property possessed by the Company which is not readily ascertainable or available to the public including all information relating to the Company’s business, projects, products, employees (including all personal health, payroll, or other personnel information), customers, Trade Secrets (as defined below), or any other confidential information (including business and financial information). Covered Person agrees to treat and preserve as strictly confidential all Confidential Company Information obtained by such Covered Person. Covered Person agrees not to publish or disclose any part of such Confidential Company

Information to others or use the same for any purpose except the Company's benefit. The duty of confidentiality shall survive the termination of the relationship between the Company and Covered Person.

2. Agreement and Duty to Prevent and Report Any Unauthorized Release of Confidential Company Information: Covered Person agrees to take all reasonable measures to prevent unauthorized persons or entities from having access to, obtaining or using any Confidential Company Information. Covered Person will promptly advise the Company President at any time when Covered Person has knowledge of any possible unauthorized release or use of any Confidential Company Information.

3. Agreement and Duty to Protect Third-Party Information as Though it Were Confidential Company Information: Covered Person agrees that he or she will preserve as confidential the confidential information of any third party to which he or she may have access. Covered Person agrees not to disclose to the Company, and not to use in any way in connection with his or her relationship with the Company, any confidential information or trade secrets of any kind, or any embodiments thereof, obtained from or belonging to any previous employer or other third party, absent written consent from the previous employer or other third party. Covered Person agrees to use only his or her own skills, experience, and general knowledge in connection with providing any services to the Company and acknowledges and agrees that this is the purpose for which Company has retained Covered Person's services.

4. Definition of "Trade Secrets": For purposes of this Agreement, the term "Trade Secrets" has the meaning defined in the Uniform Trade Secrets Act, Colorado Revised Statutes § 7-74-102(4). Accordingly, "Trade Secret" means "the whole or any portion or phase of any scientific or technical information, design, process, procedure, formula, improvement, confidential business or financial information, listing of names, addresses, or telephone numbers, or other information relating to any business or profession which is secret and of value. To be a "trade secret" the owner thereof must have taken measures to prevent the secret from becoming available to persons other than those selected by the owner to have access thereto for limited purposes."

Examples of Possible Company Trade Secrets: Some specific examples of the kinds of information, property and materials that may be Trade Secrets in the Company's business, if they also meet the above statutory definition, include (without limitation): information relating to the Company's business, projects, products, employees (including all personal health, payroll, or other personnel information), customers, prospect lists, or any other protected confidential information (including business and financial information) with respect to Company's past, existing and planned business operations and activities, practices and/or procedures developed by the Company, as well as proprietary information regarding marketing plans, pricing strategies, lists of costs, bank account numbers, pin numbers, trust information, assets, the terms of various business relationships, and other non-public information guarded by the Company from public or other disclosure because of the value derived from not being generally known.

5. Agreement and Duty Not to Misappropriate Trade Secrets: For purposes of this Agreement, the term "Misappropriation" or "Misappropriate" has the meaning defined in the Uniform Trade Secrets Act, Colorado Revised Statutes § 7-74-102(2). The term includes, without limitation, "disclosure or use of a trade secret of another without express written or implied consent." Covered Person acknowledges and agrees that no consent to use or disclose any Trade Secret will ever be implied and that written consent will be required without exception. Covered Person acknowledges and agrees that any knowledge he or she may possess regarding any Trade Secret acquired under circumstances giving rise to a duty to maintain its secrecy or limit its use, as described in this Agreement and/or as separately required by any applicable law. Covered Person recognizes his or her legal duty not to misappropriate any Trade Secrets at any time before, during, or after his or her relationship with the Company.

6. Solicitation of Clients/Customers and Employees: Covered Person agrees that the Company's customer contacts and relationships are established and maintained at great expense, and that Covered Person will have great exposure and personal contact with Company customers and employee which could enable Covered Person to unfairly compete with the Company. The following conditions are necessary for the protection of the Company's business, trade secrets and confidential information and to prevent damage or loss to the Company as a result of actions taken by its employees or contractors. Further, as the Covered Person I acknowledge the restrictions contained in this agreement are reasonable and the

consideration provided for through my salary and potential bonus are sufficient to fully and adequately compensate me for agreeing to such restrictions.

A. Company Employees:

- i. During Term of Employment: Covered person agrees that during employment with the Company they shall not, directly, or indirectly, either individually or as an employee/contractor for any third-party canvass, solicit, seek, or accept employment or paid assignments with or accept any of the Company's customers whom the Company has served without the prior written consent of the Company.
- ii. Upon Termination of Employment: Upon termination, whether voluntary or involuntary and for a period of 12 months following, Covered Person will not canvass, solicit, or accept any of the Company's customers which were served during the year immediately preceding termination for the purpose of providing the same or similar competitive services as either a contractor or employee of the organization without the prior written consent of the Company. Additionally, if Covered Person has knowledge of a potential client with which contact and significant effort (generally if we have identified a sponsor, scope or opportunity) has been made regarding a business relationship, such organizations are also covered by this agreement. Any leads brought by the Covered Person to the Company that develop into an opportunity for a business relationship are exempt from this restriction.
- iii. Agreement not to solicit Company employees: During the period of employment and for a period of 12 months following the termination of such employment, Covered Person agrees not to cause or attempt to cause any employee/contractor to terminate their employment/business relationship with the Company, or in any way interfere with the relationship. Covered person also agrees they will not solicit for employment/contract any person who, during any portion of the preceding 12-month period, was employed by the Company nor will assist any other person in employing, soliciting for employment or hiring any person who was employed by the Company in the preceding 12-month period.
- iv. In the event of a violation of any portion of the above sections by Covered Person, the Covered Person agrees to pay the Company a fee of 50% of the employee's ending gross annual salary.

B. Company Contractors, Consultants, or Other Third Parties:

- i. During the term of any agreement with the Company and for a period of 12 months following, Covered Person will not canvass, solicit, or accept any of the Company's customers which were served during the year immediately preceding termination for the purpose of providing the same or similar competitive services as either a contractor or employee of the organization without the prior written consent of the Company. Additionally, if Covered Person has knowledge of a potential client with which contact has been made regarding a business relationship, such organizations are also covered by this agreement.
- ii. During the term of any agreement with the Company and for a period of 12 months following the termination of such agreement, Covered Person agrees not to cause or attempt to cause any employee/contractor to terminate their employment/business relationship with the Company, or in any way interfere with the relationship. Covered person also agrees they will not solicit for employment/contract any person who, during any portion of the preceding 12-month period, was employed by the Company nor will assist any other person in employing, soliciting for employment or hiring any person who was employed by the Company in the preceding 12-month period. In the event of a violation of any portion of the above section by Covered Person, the Covered Person agrees to pay the Company a fee of 50% of the employee's ending gross annual salary, or the implied annual income based on contractor rate.

7. Acknowledgment of Non-Exclusivity and of Civil Remedies for Misappropriation: The duties above are in addition to and are not exclusive of any duties already applicable to Covered Person by automatic operation of the Uniform Trade Secrets Act or other law. The Company reserves and retains all rights to pursue each legal and equitable claim, whether in contract, tort, statutory law or otherwise, against any Covered Person who Misappropriates a Trade Secret. Covered Person acknowledges that the Company's statutory and other remedies could include, among others, money damages for actual loss

caused by Misappropriation, money damages for unjust enrichment and, if a court finds willful and malicious Misappropriation, double money damages and/or the Company's attorneys' fees and costs in pursuing legal action.

8. Acknowledgment of Possible Civil Liability for Trade Secret Misappropriation: Covered Person acknowledges that the unauthorized taking of any Trade Secret may also constitute civil theft under Colorado Revised Statutes § 18-4-405 and subject Covered Person to civil liability for damages up to three times the actual damages suffered by the Company.

9. Return of All Company Property and All Confidential Company Information Upon Termination of Relationship: Covered Person agrees that, upon termination of his or her relationship with the Company, voluntary or otherwise, he or she will return all Company property, including all Company Confidential Information, which includes Trade Secrets, including all copies thereof, then in his or her possession or effective control (for example, documents possessed by family members or friends who would give Covered Person access upon Covered Person's request).

CONFLICT OF INTEREST

Covered person acknowledges and agrees to abide by all of the following seven (7) policies:

- A. **General Principles:** Each Covered Person acknowledges and agrees that, consistent with applicable law, he or she must not engage in any activities, transactions, or relationships during his or her relationship with the Company that are incompatible with the impartial, objective, and effective performance of his or her duties.
- B. **Examples of Possible Conflicts of Interest:** A list of examples of circumstances during a Covered Person's relationship with the Company in which a conflict of interest or other violation of this policy might arise is enumerated below. *These and similar circumstances should either be avoided or must be reported to the Company whenever they arise:*
 - i. Disclosure or use of Confidential Company Information (including but not limited to Trade Secrets), whether for the personal advantage of the Covered Person or otherwise, or engaging in other personal business ventures;
 - ii. Accepting employment or compensation, or engaging or acquiring an ownership interest in any business or professional activity that might require disclosure of Confidential Company Information (including but not limited to Trade Secrets);
 - iii. Acting in any capacity -- including manager, director, officer, partner, consultant, employee, contractor or subcontractor -- with or without remuneration, for any entity with which the Company does business (absent express written Company approval) or which is a competitor of the Company;
 - iv. Accepting, or agreeing to accept, or soliciting money or other tangible or intangible benefit in exchange for the exercise of official powers or the performance of official job responsibilities;
 - v. Accepting employment or compensation that could reasonably be expected to impair the individual's independence of judgment in the performance of official duties;
 - vi. Accepting or soliciting a personal gift, favor, or service from an individual, business, or other a party involved, or potentially involved, in a contract or transaction with the Company, except as permitted under Section 7 below;
 - vii. Making personal investments that are contrary to the Company's interests. This includes effectively acquiring or retaining ownership of any interest in any supplier, contractor, subcontractor, customer or other entity with which the Company does business other than permissible investments as defined in Section 3 below;
 - viii. Competing with the Company, directly or indirectly, by developing, selling, marketing, any product or technology, or assisting others in doing so, or engaging in any transaction in which the Covered Person should reasonably be aware that the Company is or is likely to become interested;
 - ix. Acquiring or trading in real or personal property in which the Company is or is likely to become interested for use with respect to products manufactured, transported or marketed by the Company; or

- x. Making unlawful payments or payments which would violate Company policy, such as by making or providing, by a Covered Person or anyone acting on its behalf, directly or indirectly, or payments, loans, services, gifts, trips, entertainment or other favors for more than token value to suppliers, contractors, subcontractors, customers, competitors, or other entities with which the Company does business or is likely to do business.

There are, of course, other circumstances which could give rise to a conflict of interest or other violation of this policy, and if there is any doubt in a Covered Person's mind, the Covered Person agrees to confer in good faith with the Company.

- C. **Guidelines for Permissible Investments:** As stated above, Covered Persons must generally avoid any investments in the businesses of Company's customers, suppliers, or competitors that could cause divided loyalty, or even the appearance of divided loyalty. Nonetheless, Covered Persons may still invest in a wide range of financial products and investments vehicles without creating a conflict of interest, so long as they comply with appropriate disclosures and parameters under this policy. Specifically, Covered Persons who have investments in the businesses of customers, suppliers, or competitors or who plan to make such investments must first notify the Company President in writing of the investment. As a general rule, a Covered Person's investment in securities traded on a recognized stock exchange does *not* create a conflict of interest *so long as* the securities are purchased on the same terms and with the same information available to the general public. Investments that are never considered conflicts of interest include mutual funds, blind trusts, or debt instruments of publicly held companies that are traded on an exchange.
- D. **Duty to Disclose Apparent Conflicts:** A Covered Person is required to notify the President in writing as soon as the Covered Person first becomes aware of a Company transaction or proposed transaction with an outside individual, business, or other organization that would create a conflict of interest or the appearance of one. Specifically, the Covered Person is required to disclose any of the example situations identified in this policy, and any other situations that appear possibly to be a conflict under the above-stated general principles. All disclosures required under this policy must be directed in writing to the Covered Person's supervisor. The President promptly reviews the disclosure and determines which interests are in conflict and which, if any, can be resolved.
- E. **Confidentiality:** Consistent with applicable law, and to encourage the full disclosure of potential conflicts, disclosures are treated confidentially to the extent possible. Information provided in any written disclosure as discussed in Section 4 above will be limited to a need-to-know basis.
- F. **Duty to Abstain from Conflicted Action:** Covered Persons are prohibited from exercising decision-making authority or exerting influence on behalf of the Company concerning any other organization or transaction in which they or an immediate family member have a personal interest. Covered Persons must disclose such interest in writing to their appropriate supervisor and have that individual approve in writing any arrangement for resolving the conflict—including the Covered Person's withdrawal from decision-making in the matter. No Covered Person shall personally exploit any business opportunity in which the Covered Person knows or reasonably should know the Company is or would be interested, unless the Company first consents in writing.

SIGNATURE, ACKNOWLEDGMENT AND AGREEMENT

I acknowledge that I have received, read, and understand this Confidentiality and Conflict of Interest Agreement, and I agree to abide by its terms.

COVERED PERSON:

_____ mm/dd/yyyy